

UGC NET Economics — PYQs

Unit 4 — Growth Economics (incl. Environment & Sustainability)

101 questions · 14 papers (Dec 2018 – Dec 2025) · English only · with options · no answers

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Source: UGC NET Economics (Paper II) question papers / response sheets in D:\DIVYANSHU\09 UGC NET ECONOMICS\PYQ (Dec 2018 – Dec 2025; duplicate files skipped). Questions are grouped by the UPHESC Assistant Professor Economics syllabus units; original paper and question number shown next to each question. English only · with options · no answers. Micro (Unit 1) questions are in the separate Micro PDF. Dec 2019 paper file ends at Q145 (Q146–150 not in the source).

Unit 4 — Growth Economics (incl. Environment & Sustainability)

UGC NET December 2018

Q1. The presumption that costly new knowledge would be undersupplied by the private sector is based on the essential characteristic of new knowledge. [December 2018 · Q.54]

It is (A) _____ and (B) _____.

- (1) (A) Non-rivalous (B) Non-excludable
- (2) (A) Non-rivalous (B) Excludable
- (3) (A) Rivalous (B) Non-excludable
- (4) (A) Rivalous (B) Excludable

Q2. In an economy with a linear homogeneous Cobb-Douglas production function, the share of capital and labour in total output are, respectively, 40% and 60%. The capital stock and labour force are growing, respectively, at 8% and 3% per annum. If the rate of growth of output is recorded as 7% per annum, then the rate of growth of Total Factor Productivity will be [December 2018 · Q.69]

- (1) 4%
- (2) 11%
- (3) 10%
- (4) 2%

Q3. In the basic neo-classical growth model, where does the growth equilibrium occur? [December 2018 · Q.92]

- (1) Where investment per worker is equal to savings per worker.
- (2) Where investment per worker equals depreciation of capital for worker.
- (3) Where investment per worker equals capital per worker.
- (4) Where capital per worker equals output per worker.

Q4. Which of the following statements is/are correct about Uzawa's theorem? [December 2018 · Q.94]

- (1) The growth rate of output per worker, consumption per worker and capital per worker are equal and constant over time.
- (2) The production function is linear homogeneous.
- (3) The technical progress is 'Harrod neutral' only.
- (4) All of the above

Q5. What is true for Neo-Classical growth model? [December 2018 · Q.95]

- (i) Rate of interest and profit are flexible
- (ii) Capital is heterogeneous
- (iii) Perfect competition prevails
- (iv) Capital and labour are substitutable

Choose the correct answer from the code given below:

- (1) (i), (iii) and (iv)
- (2) (i), (ii) and (iii)
- (3) (ii) and (iii)
- (4) All of the above

Q6. Which of the following Concept – Economist pairs is not correctly matched? [December 2018 · Q.100]

- (1) Knife-edge Problem – Harrod Domar
- (2) Turnpike Conjecture – Dorfman, Samuelson and Solow
- (3) Super Multiplier – J.M. Keynes
- (4) Golden Rule of Accumulation – E.S. Phelps

Q7. To compute the 'Index of Sustainable Economic Welfare', which of the following corrections is/are made in the value of GDP? [December 2018 · Q.117]

- (1) Subtract the monetary value of depreciation
- (2) Subtract the monetary value of loss due to floods and droughts
- (3) Subtract the monetary value of expenditure on defence
- (4) Subtract the costs of environmental degradation

Q8. Harrod's Growth model is given as under: [December 2018 · Q.137]

$$S_t = \alpha Y_t, 0 < \alpha < 1$$

$$I_t = \beta[Y_t - Y_{t-1}], \beta > 0$$

$$S_t = I_t$$

where S_t = Savings, Y_t = Income, I_t = Investment, t = time

In this model for economic growth, the condition for economic growth is

- (1) $\beta/(\beta - \alpha) > 1$
- (2) $\beta/(\beta - \alpha) < 0$
- (3) $\beta/\alpha > 0$
- (4) $\beta/(\alpha - \beta) > 0$

UGC NET June 2019 (21 June 2019, Shift 1)

Q9. In J. Robinson's growth model, capital accumulation depends on [June 2019 S1 · Q.106]

- (1) saving-income ratio
- (2) profit-wage relation and labour productivity
- (3) profit-income ratio and capital productivity
- (4) saving-investment ratio

Q10. Which one of the following growth models takes technology as exogenous variable? [June 2019 S1 · Q.107]

- (1) Solow model
- (2) Robinson model
- (3) Lucas model
- (4) Todaro model

Q11. Who among the following is not associated with the endogenous growth theory? [June 2019 S1 · Q.109]

- (1) Robert Solow
- (2) Paul Romer
- (3) Rebelo
- (4) Robert Lucas

Q12. Market failure occurs in case of most of the environmental goods, because [June 2019 S1 · Q.114]

- (1) environmental goods are rival products
- (2) environmental goods are excludable products
- (3) environmental goods are non-rival in production
- (4) environmental goods are non-rival and non-excludable in consumption

Q13. The 'hedonic price' method measures the value of environmental assets through [June 2019 S1 · Q.116]

- (1) using 'existence' of an environmental asset
- (2) using linkages between variations of inhouse prices
- (3) using WTP to value of environmental asset
- (4) using WTA to value of environmental asset

UGC NET December 2019 (3 Dec 2019, Shift 1)

Q14. Harrod's growth model is given as under [December 2019 S1 · Q.64]

$$S_t = aY_t, 0 < a < 1$$

$$I_t = b[Y_t - Y_{t-1}], b > 0$$

$$S_t \equiv I_t$$

In this model, growth condition is

- (1) $b/(b - a) > 0$
- (2) $b/(b - a) < 0$
- (3) $a/(b - a) > 0$
- (4) $a/(b - a) < 0$

Q15. In which of the following models 'knife-edge' problem occur? [December 2019 S1 · Q.80]

- (1) Kaldor
- (2) Solow
- (3) Harrod
- (4) Swan

Q16. Consider an economy with a linear homogeneous Cobb-Douglas production function with two inputs-capital and labour. The share of capital and labour are, respectively, 1/3 and 2/3. The rates of growth of capital and labour are, respectively 6% and 3% per annum. If the rate of growth of output is 6% per annum, what is the rate of growth of output due to Total Factor Productivity (TFP)? [December 2019 S1 · Q.81]

- (1) 1%
- (2) 2%
- (3) 3%
- (4) 4%

Q17. Which of the following is not a feature of the contingent valuation method? [December 2019 S1 · Q.84]

- (1) It is an economic non-market based valuation method
- (2) It is based on the maximum willingness to pay by the consumers
- (3) It is used only in case of air pollution
- (4) It is used under the condition of market failure

Q18. Kaldor's growth model incorporates some of the following assumptions: [December 2019 S1 · Q.105]

- (a) Total savings include savings out of wages and savings out of profits
- (b) Marginal propensity to save out of wages is equal to the marginal propensity to save out of profits
- (c) Output consists of wages and profits
- (d) There is less than full employment

Choose the correct option:

- (1) (a) and (b)
- (2) (b) and (c)
- (3) (c) and (d)
- (4) (a) and (c)

Q19. Arrange the following in the chronological order in which these happened: [December 2019 S1 · Q.129]

- (a) Paris Climate Agreement
- (b) Rio Earth Summit
- (c) Brundtland Commission
- (d) Kyoto protocol

Choose the correct option:

- (1) (a), (b), (c), (d)
- (2) (b), (d), (a), (c)
- (3) (d), (b), (c), (a)
- (4) (c), (b), (d), (a)

Passage / data for Q.141-145 (December 2019 S1)

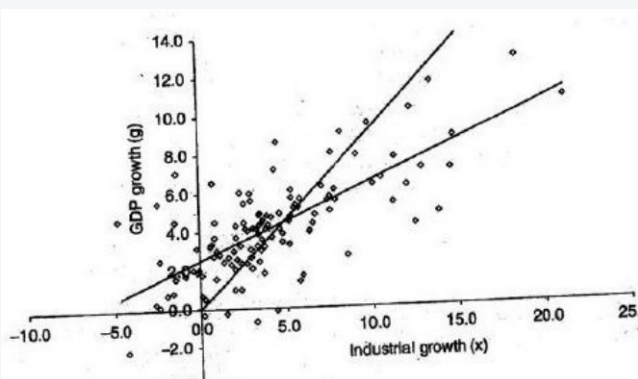
Read the following passage and answer questions which follow:

Industrialization and growth

From the global perspective, there seems to be a close association across countries between living standards and the share of resource devoted to industrial activities, at least up to a certain point. In very poor countries there is virtually no industrial activity at all, while the middle- and high-income countries devote 20-40 per cent of resources to industry. Only three countries in the world have become rich on agriculture alone: Australia, New Zealand and Canada. In all other countries, living standards have risen rapidly only as resources have shifted out of agriculture into industry and sophisticated services.

Furthermore, research also shows a close association across countries between the growth of industry and the growth of GDP; or more precisely, that GDP growth is faster the greater the excess of industrial growth relative to GDP growth; that is, when the share of industry in total GDP is rising the fastest. Figure shows this relationship across 131 developing countries over GDP is rising the fastest. Figure shows this relationship across 131 developing countries over the period 2000-2005, with GDP growth measured on the vertical axis and the growth of industry

Association between growth of industry and growth of GDP



on the horizontal axis. The scatter points represents the individual country observations. A line through the points with a slope less than unity shows that the greater the excess of industrial growth over GDP growth, the faster GDP seems to be. The point where this line cuts the 45-degree line gives the average growth rate that divides countries into those where the shares of industry is falling and are growing slowly, and those where the share of industry is rising and are growing fast. A linear equation fitted to the scatter points in Figure gives the following regression result:

$$g = 2.529 + 0.394x \quad r^2 = 0.507$$

The equation says that the country with industrial growth one percentage point above the average for all countries will have GDP growth of 0.394 percentage points above the average, and the point where the regression line cuts the 45-degree line is approximately 4.5 per cent. This rate of industry growth separates the slow-growing countries from the faster-growing countries.

The question is: what is special about industry, and particularly manufacturing industry, which accounts for these empirical associations, and which makes industry 'the engine of growth'? Since differences in the growth of GDP are largely accounted for by differences in the rate of growth of labour productivity, there must be an association between the growth of industry and the growth of labour productivity. This is to be expected for two main reasons. First, if there are increasing returns to scale in industry, both static and dynamic, a relation is to be expected between the growth of industrial output and the growth of labour productivity in industry. Static economies of scale refer to the economies of large-scale production whereby the mass production of commodities allows them to be produced at a lower average cost. Dynamic economies of scale refer to the induced effect that output growth has on capital accumulation and the embodiment of new technical progress in capital. Labour productivity also increases as output growth through 'learning by doing'. Second, if activities outside industry, such as agriculture and petty services, are subject to diminishing returns, with the marginal product of labour less than the average product, then if resources are drawn from these activities into industry as industry expands, the average product of labour will rise in non-industrial activities.

These relationships between industrial growth, productivity growth and GDP growth are known in the growth and development literature as Kaldor's Growth Laws, named after the famous Cambridge economist (Lord) Nicholas Kaldor, who first enunciated them in the 1960s (Kaldor, 1966, 1967)

Q20. Dynamic economies of scale do not include which one of the following: [December 2019 S1 · Q.141]

- (1) Induced effect of output growth on capital accumulation
- (2) Improvement in quality of capital due to new technology
- (3) The Labour intensive sector will experience increasing returns will growth of output
- (4) A shift from less productive to more productive sector will lead to a rise in the average product of labour

Q21. Consider the following statements. [December 2019 S1 · Q.142]

- (a) The association between growth of industry and growth of GDP, make industry the 'engine of growth'
- (b) Differences in GDP growth do not account for growth in labour productivity
- (c) GDP growth rates are reflected in the growth rate of labour productivity
- (d) The growth of industry is subject to increasing returns

Choose the correct option from below:

- (1) (a), (b) and (c)
- (2) (a) and (c) only
- (3) (b), (c) and (d)
- (4) (b) and (d) only

Q22. Consider the following statements in relation to the figure. [December 2019 S1 · Q.143]

- (a) The 45° line would indicate equal correspondence between industrial growth rate and GDP growth rate
- (b) GDP growth rate is the cause of industrial growth rate
- (c) The excess of industrial growth rate over GDP growth rate is fuelling more GDP
- (d) The dividing line of slow and fast growing economies is the industrial growth rate of 3.9%

Choose the correct option:

- (1) Only (a) and (c) are true
- (2) Only (a) and (b) are true
- (3) Only (a), (b) and (d) are true
- (4) Only (b) and (d) are true

Q23. Which one of the following statement is not correct for middle and highly developed countries? [December 2019 S1 · Q.144]

- (1) These devote on an average 30 percent of the resources to industrial activity
- (2) Growth of industrial activity involves shift of resources from agriculture to industry
- (3) Shift of resources is uniform between agriculture industry and higher order services for higher growth
- (4) Australia, Canada and New Zealand have developed due to growth of agriculture alone

Q24. Which one of the following statement is correct? [December 2019 S1 · Q.145]

- (1) There is a positive relation between living standard and resources denoted to industrial activity in few countries
- (2) There is a close association between living standards and resources utilized
- (3) The relation between the living standards and resources denoted to industrial activity is globally true
- (4) There is little association between living standards and resources utilized

UGC NET June 2020 (exam held 30 Sep 2020, Shift 2)

Q25. According to traditional neoclassical growth theory, output growth results from [June 2020 S2 · Q.113]

- (A) Increase in labour quantity and quality
- (B) Increase in capital
- (C) Increase in exports
- (D) Improvement in technology

Choose the correct answer from the options given below:

- (1) A, B and C only
- (2) A and B only
- (3) B and C only
- (4) A, B and D only

Q26. Given below are two statements [June 2020 S2 · Q.114]

Statement I: The endogenous growth theorists suggest, investment in human capital, innovation and knowledge leads to economic growth

Statement II: Investment in human capital, innovation and knowledge reduces the diminishing returns on investment

In light of the above statements, choose the most appropriate answer from the options given below

- (1) Both Statement I and Statement II are correct
- (2) Both Statement I and Statement II are incorrect
- (3) Statement I is correct but Statement II is incorrect
- (4) Statement I is incorrect but Statement II is correct

Q27. A decision free framework to identify a country's most binding constraints on economic growth is termed as [June 2020 S2 · Q.115]

- (1) Growth paradigm
- (2) Growth diagnostics
- (3) Growth stimulus
- (4) Growth paradox

Q28. Arrange the following growth economists in chronological order of when they proposed their theories [June 2020 S2 · Q.116]

- (A) Harrod
- (B) Schumpeter
- (C) Rostow
- (D) Solow

Choose the correct answer from the options given below:

- (1) B, A, C, D
- (2) C, D, B, A
- (3) A, C, D, B
- (4) D, B, A, C

Q29. A growth model in which there are diminishing returns on each factor of production but constant returns to scale and exogenous technological change that generates long term economic growth is the [June 2020 S2 · Q.117]

- (1) Leibenstein model
- (2) A. K. Sen model
- (3) Kalecki model
- (4) Solow model

Q30. Harrod-Domar considers a functional economic relationship in which the growth rate of the gross domestic product depends [June 2020 S2 · Q.120]

- (A) Directly on the national net savings rate
- (B) Inversely on the national capital-output ratio
- (C) Directly on industrial growth
- (D) Inversely on agricultural growth

Choose the correct answer from the options given below:

- (1) A and B only
- (2) A and C only
- (3) B and D only
- (4) C and D only

Passage / data for Q.141-145 (June 2020 S2)

Read the passage carefully and answer the questions that follows

There is considerable evidence that some consumers are willing to pay more for green goods. Green goods are goods that are manufactured in an environmentally friendly way (e.g. wood products from sustainable forests, electricity produced from wind power) without a direct impact on a consumer. These are referred to as impure Public goods - a package of Private good and Public good.

Why consumers are willing to pay more for these goods is complex. Whatever the reason, it is clear some consumers are willing to pay for green actions that do not benefit them directly.

One example of green goods is 'green electricity'. Green power is simply electricity produced using renewable sources of energy. Of course, electricity itself is completely indistinguishable from non-green electricity. There are two ways in which consumers may buy green electricity; either by buying it directly or by contributing to the cost of building green electricity capacity.

Consumers are clearly willing to spend more for green electricity and their preference for green production is indicated by the recent rise in popularity of retail carbon offsets. Offsets of emissions have long been used by firms to buy and sell the obligation to reduce emissions. In the USA, new emitters setting up a business in an urban area have to 'offset' their emission additions by finding (and paying) existing firms to reduce their emissions. In recent years, firms have used offsets to effectively reduce their emissions in order to provide a green image, particularly in the case of carbon emissions.

The purchase of offsets by consumers is different when consumers buy offsets. They are making a purely voluntary contribution to the environment. Retail offsets are a way in which consumers can produce a green product from a brown product. For example, one can make his part of the flight carbon neutral by paying someone else to reduce his or her carbon emission. This is formalized in an offset market whereby sellers of offsets reduce emissions and then sell these 'reductions'.

Q31. An example of green good is [June 2020 S2 · Q.141]

- (A) White paper
- (B) Wind power
- (C) Forest products
- (D) Solar energy

Choose the correct answer from the options given below:

- (1) A and B only
- (2) B and C only
- (3) C and D only
- (4) B and D only

Q32. Green Electricity means [June 2020 S2 · Q.142]

- (1) Electricity produced from renewable sources of energy
- (2) Electricity from Thermal plants
- (3) Electricity from Gas-powered plants
- (4) Hydro-power

Q33. Impure Public goods are [June 2020 S2 · Q.143]

- (1) Private goods
- (2) Public goods
- (3) A package of Public and Private goods
- (4) Harmful goods for the society

Q34. Offset of emissions are used [June 2020 S2 · Q.144]

- (A) To reduce emissions
- (B) To provide green image
- (C) For emission addition
- (D) To satisfy consumer preferences

Choose the correct answer from the options given below:

- (1) A, B and C only
- (2) A, C and D only
- (3) A, B and D only
- (4) B, C and D only

Q35. The way in which consumers can produce a green product from a brown product [June 2020 S2 · Q.145]

- (1) Monopoly
- (2) Retail offsets
- (3) Price discrimination
- (4) Fiscal deficit

UGC NET December 2020 & June 2021 (merged cycle, exam Nov 2021)

Q36. Harrod-neutral technical progress is necessarily: [December 2020 · Q.31]

- (1) Growth augmenting
- (2) Labour augmenting
- (3) Capital augmenting
- (4) Resource augmenting

Q37. Which among the following is NOT part of the neoclassical theory of growth? [December 2020 · Q.32]

- (1) Swan Model
- (2) Meade's Model
- (3) Pasinetti Model
- (4) Solow Model

Q38. Which of the following is/are true? [December 2020 · Q.52]

- (A) Ministry of Environment and Forests in India was established in 1985
- (B) Central Pollution Control Board was established in 1984
- (C) Environment Protection Act was enacted in 1990
- (D) National Environment Appellate Authority Act was passed in 1977

Choose the correct answer from the options given below:

- (1) A, B, C and D only
- (2) B only
- (3) C only
- (4) A and D only

Q39. Which of the following are true for the Environmental Kuznets Curve (EKC)? [December 2020 ·

Q.64]

- (A) The relationship between Income and Environmental damages take the shape of an inverted U
- (B) EKC is applicable in case of irreversible environmental damage
- (C) EKC holds true for global pollutants
- (D) EKC hypothesis intends to represent a long term relationship between economic growth and pollution

Choose the correct answer from the options given below:

- (1) A and B only
- (2) A and D only
- (3) C and D only
- (4) A, B, C and D

Q40. Which of the following statement(s) is/are CORRECT for environmental evaluation? [December

2020 · Q.65]

- (A) Travel cost method measures the recreational values of Environmental Resources
- (B) Hedonic pricing is used for environmental amenities associated with property values
- (C) Replacement cost method is used by substituting natural resources with a man-made equipment
- (D) Defensive expenditure deals with preventive measures

Choose the correct answer from the options given below:

- (1) A and B only
- (2) B and C only
- (3) C only
- (4) A, B, C and D

Q41. Match List I with List II [December 2020 · Q.74]

List - I	List - II
(A) Conserving the Environment for benefit of the future generation	(I) Indirect use value
(B) Search of Alternative fuels is necessary because traditional sources are non-renewable	(II) Option Value
(C) Wood from the forest is useful as timber	(III) Bequest Value
(D) Insects are important as they help in pollination	(IV) Use Value

Choose the correct answer from the options given below:

- (1) A - I, B - II, C - III, D - IV
- (2) A - III, B - II, C - IV, D - I
- (3) A - II, B - IV, C - I, D - III
- (4) A - III, B - IV, C - II, D - I

Q42. Arrange the following United Nations Framework Convention on Climate Change (UNFCCC) conferences in chronological order [December 2020 · Q.83]

- (A) Copenhagen Conference
- (B) Doha Conference
- (C) Paris Conference
- (D) Katowice Conference

Choose the correct answer from the options given below

- (1) B, C, D, A
- (2) D, C, B, A
- (3) A, B, C, D
- (4) C, D, B, A

Q43. Given below are two statements, one is labelled as Assertion A and the other is labelled as Reason R [December 2020 · Q.88]

Assertion A: New capital accumulation is the vehicle of technical progress

Reason R: Technical progress is embodied in new machines

In light of the above statements, choose the correct answer from the options given below

- (1) Both A and R are true and R is the correct explanation of A
- (2) Both A and R are true but R is NOT the correct explanation of A
- (3) A is true but R is false
- (4) A is false but R is true

UGC NET December 2021 & June 2022 (merged cycle, exam Oct 2022)

Q44. In Harrod-Domar Model, if the growth rate of income is 8% and the capital output ratio is 4% then the saving rate must be [December 2021 · Q.32]

- (1) 32%
- (2) 2%
- (3) 36%
- (4) 1/2%

Q45. The change in welfare due to change in environmental quality is measured by [December 2021 · Q.34]

- (1) Hedonic price function
- (2) Marginal implicit function
- (3) Marginal Willingness to Pay (WTP) function
- (4) Offer function

Q46. What are the primary goals of sustainability? [December 2021 · Q.55]

- (A) The end of poverty and hunger
- (B) Better standard of education and healthcare
- (C) To achieve gender equality
- (D) Sustainable economic growth
- (E) To achieve both inter and intra generational equity

Choose the most appropriate answer from the options given below :

- (1) (A), (B), (C) and (E) only
- (2) (A), (C), (D) and (E) only
- (3) (A), (B), (C) and (D) only
- (4) (A), (B), (C), (D) and (E) only

Q47. Arrange the following chronologically in order of their years of first occurrence: [December 2021 · Q.81]

- (A) Environmental Kuznets Curve Hypothesis
- (B) Limits to growth theorem
- (C) Bouldings 'The Economics of Coming Spaceship Earth'
- (D) Jevon's Coal Question
- (E) Rachel Carson's Silent Spring

Choose the correct answer from the options given below :

- (1) (E), (A), (B), (D), (C)
- (2) (A), (C), (D), (B), (E)
- (3) (D), (A), (E), (C), (B)
- (4) (E), (D), (C), (B), (A)

Q48. Arrange the following Environmental disasters chronologically in accordance of their occurrence [December 2021 · Q.82]

- (A) Bhopal Gas Tragedy
- (B) Chernobyl explosion
- (C) London smog episodes
- (D) Exxon Valdez
- (E) The Three Mile Island Nuclear Disaster

Choose the correct answer from the options given below :

- (1) (A), (D), (E), (C), (B)
- (2) (C), (E), (A), (B), (D)
- (3) (A), (C), (D), (E), (B)
- (4) (B), (C), (D), (A), (E)

Q49. Given below are two statements : One is labelled as Assertion A and the other is labelled as Reason R [December 2021 · Q.88]

Assertion A : The Endogenous growth theory examines production function that shows increasing returns.

Reason R : Increasing returns in Endogenous growth theory is due to specialization and investment in knowledge capital and learning by doing.

In the light of the above statements, choose the most appropriate answer from the options given below :

- (1) Both (A) and (R) are correct and (R) is the correct explanation of (A)
- (2) Both (A) and (R) are correct but (R) is NOT the correct explanation of (A)
- (3) (A) is correct but (R) is not correct
- (4) (A) is not correct but (R) is correct

UGC NET December 2022 (Shift 1)

Q50. Which of the following criterion is used to judge the performance of instruments for environmental policy? [December 2022 S1 · Q.35]

- (1) Ensuring that for each firm the marginal abatement cost is equal to the marginal damage from pollution
- (2) Achieving equality of marginal abatement costs across polluters
- (3) Minimising the total cost of the externality to the society
- (4) All of the above

Q51. Harrod-Domar classification of growth includes, which of the following? [December 2022 S1 · Q.60]

- (A) Natural growth rate
- (B) Desired growth rate
- (C) Warranted growth rate
- (D) Possible growth rate
- (E) Population growth rate

Choose the correct answer from the options given below:

- (1) A and B only
- (2) A and C only
- (3) A, B, C and E only
- (4) B, C and D only

Q52. Match List I with List II [December 2022 S1 · Q.74]

List - I	List - II
(A) COP-15	(I) Bali, Indonesia
(B) COP-21	(II) Sharm el-Sheikh, Egypt
(C) COP-13	(III) Copenhagen, Denmark
(D) COP-27	(IV) Paris, France

(List I: Conference of the Parties (COP) - UNFCCC; List II: Location)

Choose the correct answer from the options given below:

- (1) A - IV, B - I, C - II, D - III
- (2) A - III, B - IV, C - I, D - II
- (3) A - III, B - I, C - II, D - IV
- (4) A - IV, B - III, C - I, D - II

UGC NET December 2022 (Shift 2)

Q53. Which of the following is true in case of the non-marketed environmental resources? [December 2022 S2 · Q.25]

- (1) Non excludable and non-rival in consumption
- (2) Excludable but not rival in consumption
- (3) Excludable and rival in consumption
- (4) Non-excludable but rival in consumption

Q54. Which of the following is an example of depreciation of natural capital? [December 2022 S2 · Q.35]

- (1) Restoring rivers rendered unusable due to dumping of industrial effluents
- (2) Representation of areas that have been cleared for years of open-cut mining
- (3) Pollution-control activities by the public sector such as municipal waste treatment
- (4) Detoxifying unusable soils for urban or rural development

Q55. Which of the following are the features of Environmental Economics as a field of study ?

[December 2022 S2 · Q.62]

- (A) It has its roots in the theory of externalities and public goods.
- (B) It is based on neoclassical welfare theory
- (C) It envisions human economy as a sub-system of the biosphere
- (D) It engages with the law of transformations of matter and energy
- (E) It focuses on finding the most efficient ways to reducing environmental damages.

Choose the correct answer from the options given below:

- (1) A, B and C only
- (2) B, C and D only
- (3) A, B and E only
- (4) C, D and E only

Q56. Which of the following are the essential features of weak sustainability ? [December 2022 S2 · Q.63]

- (A) It considers human-made capital and natural capital as close substitutes.
- (B) It puts emphasis on the initial size of an economy since the size of the initial capital stock is considered relevant.
- (C) It requires from each generation to ensure that their actions do not compromise the productive capacity of the generations to follow
- (D) the composition of the capital stock of an economy does not hold great significance
- (E) It renders natural capital as an absolute necessity for sustaining net national income over an indefinite period.

Choose the most appropriate answer from the options given below:

- (1) A, C and D only
- (2) A, B and C only
- (3) C, D and E only
- (4) A, B and E only

Q57. Match List I with List II [December 2022 S2 · Q.67]

List - I	List - II
(A) Robert Solow	(I) Neoclassical growth theory
(B) Paul Romer and Robert Lucas	(II) Unemployment - Output
(C) Paul Samuelson	(III) Endogenous growth theory
(D) Okun	(IV) Foundation of Economic growth.

Choose the correct answer from the options given below:

- (1) A-II, B-III, C-I, D-IV
- (2) A-I, B-II, C-III, D-IV
- (3) A-I, B-III, C-IV, D-II
- (4) A-III, B-I, C-II, D-IV

Q58. Given below are two statements : [December 2022 S2 · Q.88]

Statement I : Capital deepening is the process by which capital grows at a faster rate than labour and the capital labour ratio rises.

Statement II : The growth of output per worker is result of technological change which decreases output per worker for a given capital/labour ratio.

In the light of the above statements, choose the most appropriate answer from the options given below:

- (1) Both Statement I and Statement II are correct
- (2) Both Statement I and Statement II are incorrect
- (3) Statement I is correct but Statement II is incorrect
- (4) Statement I is incorrect but Statement II is correct

UGC NET June 2023 (20 June 2023)

Q59. Suppose that a scarce resource, facing a constant demand, will be exhausted in 10 years. If an alternative resource will be available at a price of \$40 and if the interest rate is 10%, what must be the price of the scarce resource today - [June 2023 · Q.52]

- (1) \$55.50
- (2) \$35.60
- (3) \$24.40
- (4) \$15.42

Q60. According to Robinson the term 'Golden Age' in the context of Harrod-Domar model is used to emphasize [June 2023 · Q.79]

- (1) Its mythical nature
- (2) Its superiority
- (3) Natural growth rate
- (4) Warranted growth rate

Q61. Which of the following defines ambient standards in an environmental policy [June 2023 · Q.83]

- (1) a standard that specifies a pollution limit to be achieved but does not stipulate the technology.
- (2) a standard that designates the equipment or method to be used to achieve some abatement level.
- (3) a standard that designates the quality level of some element of the environment to be achieved.
- (4) none of the above.

Q62. Which of the following applies to the physical linkage approach for the valuation of environmental benefits [June 2023 · Q.84]

- (1) methods that assess responses immediately related to environmental changes.
- (2) methods that examine responses not about the environmental good itself but some set of market conditions related to it.
- (3) methods that estimate benefits using observations of behavior in actual markets.
- (4) methods that estimate benefits based on a technical relationship between an environmental resource and the user of that resource.

Q63. Defensive expenditure method is based on the understanding that [June 2023 · Q.112]

- (A) the consumer spends money to ameliorate the damaging effects of the bad.
- (B) the defensive expenditure undertaken reflects the consumer's willingness to pay to reduce the level of the bad.
- (C) the observed defensive expenditure is an upper bound on the willingness to pay to avoid the bad.
- (D) the defensive expenditure provide no additional services other than provisioning the desired environmental quality.
- (E) the observed defensive expenditure is a lower bound on the willingness to pay to avoid the bad.

Choose the correct answer from the option given below :

- (1) A, B and C only
- (2) C, D and E only
- (3) A, B, C and D only
- (4) A, B, D and E only

Q64. Which of the following constitutes India's strategy to combat climate change in the backdrop of its stand at the 26th session of the conference of the Parties (COP 26) to the UNFCCC held in Glasgow, U.K. [June 2023 · Q.113]

- (A) phasing out of coal-based thermal power generation by 2030.
- (B) reduction of the carbon intensity of Indian economy by 45 percent by 2030, over 2005 levels.
- (C) capping Indian economy total final energy consumption in absolute levels.
- (D) achieving the target of net zero emissions for India by 2070.
- (E) promoting lifestyle for environment to combat climate change.

Choose the correct answer from the option given below :

- (1) A, B, D only
- (2) B, C, D only
- (3) B, D, E only
- (4) C, D, E only

Q65. Match List I with List II [June 2023 · Q.116]

List - I	List - II
(A) Cost-effectiveness	(I) a policy that directly regulates polluters through the use of standards.
(B) Pollution permit trading system	(II) an incentive based policy that encourages conservation practices or pollution reduction technologies.
(C) Market approach	(III) Requires that the least amount of resources be used to achieve an objective.
(D) Command-and-control approach	(IV) A market instrument that establishes a market for rights to pollute.

Choose the correct answer from the options given below:

- (1) A-I, B-II, C-III, D-IV
- (2) A-III, B-IV, C-I, D-II
- (3) A-IV, B-III, C-II, D-I
- (4) A-III, B-IV, C-II, D-I

Passage / data for Q.146-150 (June 2023)

GDP growth is the most widely used macroeconomic indicator for adjudicating broad economic progress. The outcomes from decisions made on the basis of such an indicator have been repeatedly disappointing because of failures to detect resource uses that turn out to be unsustainable. Adjusted Net Savings (ANS) provides a complementary indicator to help in understanding the changes in wealth and not per capita wealth, by capturing some of the important policy-induced dynamics. Based on the conventions of the System of National Accounts (SNA), ANS is measured as Gross National Saving minus depreciation of produced capital, depletion of subsoil assets and timber resources, and air pollution damages to human health, plus a credit for expenditures on education. If ANS is negative, the country is running down its capital stocks and possibly reducing future material well-being. If ANS is positive the country is adding to wealth and future material well-being. When natural resource depletion is not used to invest in other assets in the wealth portfolio, countries gross saving might not be enough to compensate this depletion resulting in negative net savings. However, nations with higher GDP are far less likely to obtain negative ANS. It is argued that, if not a superior indicator of sustainability, ANS is useful to the extent that it can serve as an indicator of unsustainability. Hence, the estimates and conceptualization of ANS are not free from limitations.

Q66. Adjusted Net Saving (ANS) is [June 2023 · Q.146]

- (1) a proxy for change in per capita wealth
- (2) a stock variable
- (3) a flow variable
- (4) unable to capture policy-induced dynamics

Q67. Which of the following is not the constituent of ANS? [June 2023 · Q.147]

- (1) Public expenditures on education
- (2) Air pollution damage
- (3) Depletion of metals and minerals
- (4) Loss of biodiversity

Q68. Which of the following explains the decline in ANS in countries with increasing GDP per capita? [June 2023 · Q.148]

- (1) Increasing proportion of private investment in an economy
- (2) Depleted assets not offset by sufficient investment in human and physical capital
- (3) Increasing gross saving rates
- (4) Increasing production of renewable natural capital

Q69. Which of the following reflects the shortcomings of ANS? [June 2023 · Q.149]

- (1) It allows substitution between different forms of capital.
- (2) It is not a comprehensive indicator of per capita wealth.
- (3) It is influenced by the level of GDP of an economy.
- (4) All of the above

Q70. The concept of ANS should at best be used to [June 2023 · Q.150]

- (1) guide ecologically optimal sustainable scale
- (2) serve as an indicator of unsustainability
- (3) replace GDP as a measure of economic progress
- (4) None of the above

UGC NET December 2023 (12 Dec 2023, Shift 1)

Q71. In an economy real GDP has increased from \$ 990 PPP to \$ 1080 PPP during 2015 to 2020. The incremental capital output ratio is 2.5. The rate of investment is : [December 2023 S1 · Q.60]

- (1) 27.8 Percent
- (2) 22.5 Percent
- (3) 3.9 Percent
- (4) 19.5 Percent

Q72. The Solow residual is : [December 2023 S1 · Q.62]

- (1) The difference between the rate of growth of productivity and the rate of growth of inputs
- (2) The difference between the rate of growth of output and the rate of growth of saving
- (3) The difference between the rate of growth of output and the rate of growth of inputs
- (4) The difference between the golden rule level of consumption and the steady state level of consumption

Q73. Endogenous growth theory assumes : [December 2023 S1 · Q.64]

- (1) Increasing returns to scale and perfect competition
- (2) Decreasing returns to scale and perfect competition
- (3) Increasing returns to scale and imperfect competition
- (4) Decreasing returns to scale and imperfect competition

Q74. Match List - I with List - II. [December 2023 S1 · Q.116]

List - I	List - II
(A) Ramsar Convention	(I) Ozone layer depletion
(B) Basel Convention	(II) Reduction of greenhouse gas emission
(C) Montreal Protocol	(III) Conservation of wetlands
(D) Paris Agreement	(IV) Control of trans-boundary movement of hazardous wastes and disposal

Choose the correct answer from the options given below :

- (1) A-I, B-IV, C-III, D-II
- (2) A-III, B-I, C-II, D-IV
- (3) A-IV, B-I, C-III, D-II
- (4) A-III, B-IV, C-I, D-II

Q75. Match List - I with List - II. [December 2023 S1 · Q.117]

List - I	List - II
(A) Coase theorem	(I) Property right, victim's pay and polluter pay principle
(B) Climate change	(II) Lax environmental regulation, hidden subsidy
(C) Ecological dumping	(III) Quantity restriction
(D) Tradable emission permit	(IV) Global externality

Choose the correct answer from the options given below :

- (1) A-III, B-IV, C-II, D-I
- (2) A-I, B-IV, C-II, D-III
- (3) A-II, B-I, C-III, D-IV
- (4) A-III, B-IV, C-I, D-II

UGC NET August 2024 (28 Aug 2024, Shift 1)

Q76. Under the Green Climate Fund of UNFCCC, what ratio of financial allocation between 'Adaptation' and 'Mitigation' activities is aimed? [August 2024 S1 · Q.59]

- (1) 25:75
- (2) 40:60
- (3) 50:50
- (4) 75:25

Q77. Arrange the following in correct chronological order starting from the earliest to the latest:

[August 2024 S1 · Q.96]

- (A) Coase theorem
- (B) Hotelling principle
- (C) Nash equilibrium
- (D) Kyoto Protocol
- (E) Establishment of IUCN (International Union for Conservation of nature)

Choose the correct answer from the options given below:

- (1) (B), (E), (C), (A), (D)
- (2) (B), (E), (A), (C), (D)
- (3) (B), (A), (D), (E), (C)
- (4) (E), (B), (A), (C), (D)

Q78. Identify the correct statements from below: [August 2024 S1 · Q.106]

- (A) According to environmental valuation theory, option value = future use value + bequest value + vicarious value
- (B) Adverse selection leads to market failure
- (C) Contingent valuation method is a type of cost benefit analysis
- (D) Public good and common goods have same characteristics
- (E) Internal rate of return is a criterion in cost benefit analysis

Choose the correct answer from the options given below:

- (1) (A) and (B) only
- (2) (A), (C), (D) only
- (3) (A), (B), (E) only
- (4) (C), (D), (E) only

Q79. Identify the correct statements from below: [August 2024 S1 · Q.111]

- (A) First UN conference on human environment was held in Norway in 1972.
- (B) In $I = PAT$ expression, P stands for poverty.
- (C) Pollution tax was suggested by Pigou.
- (D) Population growth follows a logistic distribution.
- (E) Hedonic pricing is an environmental valuation method used in valuing tourism sites.

Choose the correct answer from the options given below:

- (1) (A), (D), (E) only
- (2) (C), (D), (E) only
- (3) (A), (B), (E) only
- (4) (C), (D) only

Q80. Match List - I with List - II. [August 2024 S1 · Q.126]

List - I	List - II
(A) Travel cost method	(I) Sustainable development
(B) Stern review	(II) Exhaustible resources
(C) Brundtland commission report	(III) Climate change
(D) User cost	(IV) Environmental valuation

Choose the correct answer from the options given below:

- (1) (A)-(IV), (B)-(II), (C)-(I), (D)-(III)
- (2) (A)-(IV), (B)-(I), (C)-(II), (D)-(III)
- (3) (A)-(IV), (B)-(III), (C)-(I), (D)-(II)
- (4) (A)-(III), (B)-(IV), (C)-(I), (D)-(II)

Q81. Match List - I with List - II. [August 2024 S1 · Q.132]

List - I	List - II
(A) Rachel Carson	(I) Economics of Biodiversity
(B) Kenneth Boulding	(II) Economics of coming spaceship earth
(C) G. Hardin	(III) Silent spring
(D) Partha Dasgupta	(IV) Tragedy of commons

Choose the correct answer from the options given below:

- (1) (A)-(II), (B)-(I), (C)-(IV), (D)-(III)
- (2) (A)-(III), (B)-(IV), (C)-(I), (D)-(II)
- (3) (A)-(IV), (B)-(II), (C)-(III), (D)-(I)
- (4) (A)-(III), (B)-(II), (C)-(IV), (D)-(I)

Q82. Match List - I with List - II. [August 2024 S1 · Q.139]

List - I	List - II
(A) Montreal Protocol	(I) Contingent valuation method
(B) Cop 28	(II) Control of CFC
(C) Rio+20	(III) Climate Conference
(D) Willingness to Accept (WTA)	(IV) Sustainable Development

Choose the correct answer from the options given below:

- (1) (A)-(II), (B)-(III), (C)-(IV), (D)-(I)
- (2) (A)-(II), (B)-(I), (C)-(IV), (D)-(III)
- (3) (A)-(III), (B)-(IV), (C)-(II), (D)-(I)
- (4) (A)-(I), (B)-(II), (C)-(IV), (D)-(III)

UGC NET December 2024

Q83. The method used for estimation of price change of a house due to change in environment like starting of park, scenic beauty etc is : [December 2024 · Q.51]

- (1) Travel cost method
- (2) Hedonic pricing method
- (3) Production function method
- (4) Contingent valuation method

Q84. Due to open - access to a property after it is over-used beyond its carrying capacity. Such a situation is called : [December 2024 · Q.96]

- (1) Problem of tragedy of commons
- (2) Problem of market failure
- (3) Problem of externality
- (4) Problem of moral hazard

Q85. Ecological Footprint means : [December 2024 · Q.103]

- (1) Number of trees planted in a region per year.
- (2) Amount of ecological resources degraded in a country per year
- (3) Total areas of deep forest in a country
- (4) The amount of pressure that human puts on the natural resources available to them in their surrounding.

Q86. Endogenous Growth theory has been developed by : [December 2024 · Q.113]

- (A) K. Arrow
- (B) R. Barro
- (C) P. Romer
- (D) R. Solow
- (E) G. Mankiw

Choose the correct answer from the options given below:

- (1) A, B, C, E Only
- (2) A, B, E Only
- (3) B, C, E Only
- (4) A, B, C Only

UGC NET June 2025 (29 June 2025, Shift 2)

Q87. According to neoclassical growth theory, an increase in saving rate. [June 2025 S2 · Q.85]

- (1) Raises the growth rate of output in the short run.
- (2) Increases long run growth rate of output.
- (3) Decreases the steady-state capital-labor ratio.
- (4) Decreases the long-run level of capital and output per head.

Q88. Which of the following is not correct about Harrod-Domar model of economic growth? [June 2025 S2 · Q.87]

- (1) The natural rate of growth is made up of growth of labor force and labor productivity.
- (2) If actual growth (g) is greater than warranted rate of growth (g_w), g can continue to diverge from g_w only until it hits natural growth rate (g_n).
- (3) g can be greater than g_n in the long-run.
- (4) Full employment of labor and capital require $g = g_w = g_n$

Q89. Arrange the following environmental conventions/summits in sequence starting from the oldest. [June 2025 S2 · Q.100]

- (A) Kyoto Protocol
- (B) Minamata Convention
- (C) Stockholm Convention
- (D) UN-REDD
- (E) Rio Summit

Choose the correct answer from the options given below:

- (1) E, A, C, D, B
- (2) E, C, A, B, D
- (3) C, E, A, D, B
- (4) A, B, C, D, E

Q90. In the context of neoclassical growth model, the effects of an increase in population growth rate is/are. [June 2025 S2 · Q.120]

- (A) Reduction in steady-state level of capital per head
- (B) Increase in per capita output
- (C) Increase in steady state rate of growth of aggregate Output
- (D) Decrease in capital-output ratio
- (E) An inward shift in production possibility curve.

Choose the most appropriate answer from the options given below:

- (1) A, B & C Only
- (2) B, C, D & E Only
- (3) A & C Only
- (4) C, D & E Only

Q91. Match List - I with List - II [June 2025 S2 · Q.137]

List - I	List - II
List-I (Concepts)	List-II (their expression) (where, gm = manufacturing output growth, gGDP = GDP growth, Pnm = productivity in outside manufacturing, Pm = Productivity in manufacturing)
(A) Kaldor's first law of growth	(I) $P_m = f(g_m)$, $f' > 0$
(B) Kaldor's second law of growth	(II) $y^* = -\varepsilon(u - u^*)$
(C) Kaldor's third law of growth	(III) $gGDP = f(g_m)$, $f' > 0$
(D) Okun's law	(IV) $P_{nm} = f(g_m)$, $f' > 0$

Choose the correct answer from the options given below:

- (1) A-IV, B-III, C-I, D-II
- (2) A-III, B-IV, C-I, D-II
- (3) A-III, B-I, C-IV, D-II
- (4) A-IV, B-III, C-II, D-I

Q92. Match List - I with List - II [June 2025 S2 · Q.139]

List - I	List - II
(A) Inverted "U" hypothesis	(I) Herman Daly
(B) Sustainable development	(II) Garrett Hardin
(C) Ecological Economics	(III) Simon Kuznets
(D) Tragedy of the commons	(IV) Gro Harlem Brundtland

Choose the correct answer from the options given below:

- (1) A-IV, B-II, C-III, D-I
- (2) A-III, B-I, C-IV, D-II
- (3) A-III, B-IV, C-I, D-II
- (4) A-III, B-IV, C-II, D-I

UGC NET December 2025 (Exam held 31 Dec 2025 - 7 Jan 2026)**Q93. The basic proposition of neo-classical growth theory are:** [December 2025 · Q.59]

- (A) The growth of output depends on the rate of growth of labour productivity
- (B) The growth of output depends on the level of per capita income
- (C) The ratio of savings and investment determines economic growth
- (D) Only investment determines economic growth

Choose the correct answer from the options given below:

- (1) A and C only
- (2) A and B only
- (3) C and D only
- (4) B and C only

Q94. Match List - I with List - II. [December 2025 · Q.63]

List - I	List - II
(A) Kenneth Bouilding	(I) Pollution Tax
(B) Georgescu-Roegen	(II) Spaceship Earth and Ecological Limits
(C) Elinor Ostrom	(III) Managing Common Property Resources
(D) A.C. Pigou	(IV) Energy as a limiting factor

Choose the correct answer from the options given below:

- (1) A-I, B-III, C-II, D-IV
- (2) A-III, B-II, C-I, D-IV
- (3) A-II, B-I, C-IV, D-III
- (4) A-II, B-IV, C-III, D-I

Q95. The main feature of embodied technical progress is: [December 2025 · Q.88]

- (1) Exogenous technical progress that is not dependent on capital accumulation is embodied progress.
- (2) Technical improvements that can only be introduced into the productive system by new investment is embodied progress.
- (3) Lop-sided productivity increase is embodied progress.
- (4) This is dependent on government support.

Q96. The development of economic growth theory in chronological order would be: [December 2025 · Q.107]

- (A) Harrod Domar Growth Model
- (B) Solow's Neoclassical Growth Model
- (C) Endogenous Growth Theory
- (D) Adam Smith's "division of labour" and "increasing returns" theory.

Choose the correct answer from the options given below:

- (1) D, C, B, A
- (2) D, B, C, A
- (3) D, A, B, C
- (4) B, D, A, C

Passage / data for Q.141-145 (December 2025)

For environmental assets, markets can fail if prices do not communicate society's desires and constraints accurately. The factors leading to habitat destruction and the loss of biodiversity originate in several sources of market failure. First, habitat destruction arises from public ownership of large areas of land with open access and limited government capacity to manage land. The economic incentives encourage the over exploitation of wildlife, timber, grazing lands and crop lands.

Lack of secure land tenure provides little incentive to maintain the habitat necessary for biodiversity conservation. This is a case of non-rivalry and non-excludability that can destroy biodiversity as it itself does not have any price. Such market failures can be linked to incomplete markets. On the other hand, such situation could also happen from externality if some outside agent disturbs the natural eco-system. This could lead to a tragic end of the ecosystem unless there is a coordinated effort by the local people to save it.

Q97. Incomplete markets for biodiversity occurs because: [December 2025 · Q.141]

- (1) Biodiversity does not have a value to society
- (2) Failure to institute well-defined property rights on the forest having biodiversity
- (3) The forest resource is open for all to exploit
- (4) No one is willing to pay money to save biodiversity in forest

Q98. A Common Property Resource (CPR) can survive only under: [December 2025 · Q.142]

- (1) Strict Property Rules
- (2) Taxation
- (3) Credible Commitment to the collective living on the CPR
- (4) Non-exclusion

Q99. The concept of "Tragedy of Commons" was founded by: [December 2025 · Q.143]

- (1) Robert Solow
- (2) Harold Hotelling
- (3) Ganret Hardin
- (4) Partha Dasgupta

Q100. Public goods do not have the following property: [December 2025 · Q.144]

- (1) Non-rival
- (2) Non-excludable
- (3) Common property resources controlled by locals
- (4) Free goods

Q101. Asymmetric information about a resource occurs when there is: [December 2025 · Q.145]

- (1) Government intervention
- (2) Non-rivalry
- (3) Non-excludability
- (4) Moral hazard and adverse selection